Market Stats

Level: Advanced
Prerequisites: #1 – Basic Strategy and #4 – Speculative Buy

Aggregate market stats and a quick evaluation are available in the “Stats” tab in the daily reversal levels file.

This is useful as a quick read on the overall market conditions and also as a yardstick to help us decide the optimal cash levels in our portfolio.

Here is what the stats look like and below is a more detailed explanation of the numbers.

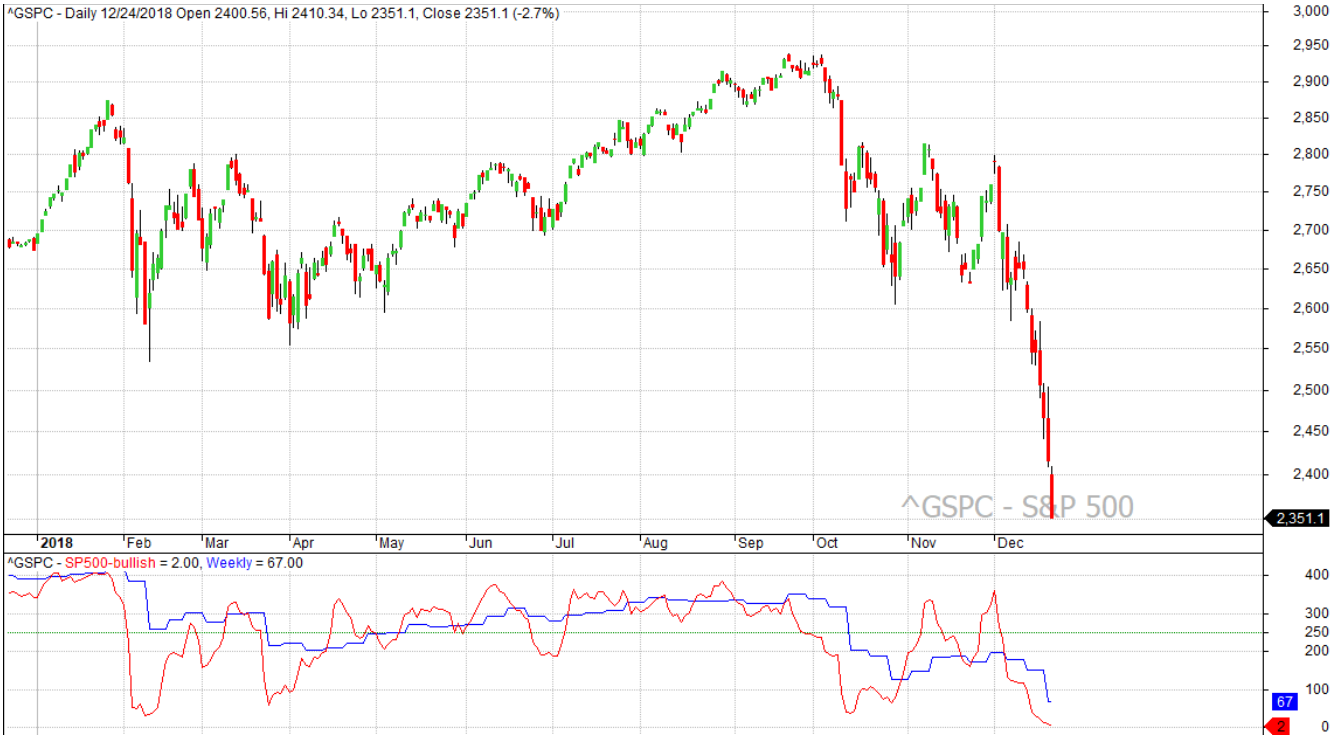
Current Market Stats *Previous day's values shown between ()*		
S&P 500 bullish	297 (317)	59.4%
S&P 500 MoM Up	275 (290)	55.0%
S&P 500 weekly bullish	279	55.8%
S&P 400 bullish	282 (278)	70.5%
S&P 400 MoM Up	285 (270)	71.3%
S&P 600 bullish	347 (350)	57.7%
S&P 600 MoM Up	428 (390)	71.2%
Nasdaq 100 bullish	53 (53)	52.5%
Nasdaq 100 MoM Up	54 (48)	53.5%
S&P 1500 spBuy	2 (2)	0.1%
S&P 1500 pP	11 (11)	0.7%
S&P 500 BullsPower	33.8 (39.5)	
S&P 500 BearsPower	16.7 (13.5)	
S&P 500 Rotator	8.3 (8.1)	

Market Evaluation	
S&P 500 bullish > 55%	Bullish
S&P 500 weekly bullish > 55%	Longer term bullish
S&P 500 bullish >= weekly bullish	Bullish
S&P 500 MoM Up 45-55%	Short term neutral
spBuy < pP	Bullish
BullsPower >= BearsPower	Bullish
Rotator above 0	Bullish
Rotator is rising	Short term bullish

The market evaluation can be seen as a kind of committee. When it’s a mixed bag it means near and medium term direction is uncertain. Sooner or later the different factors will fall in line again and then the conditions become more stable for the time being.

Daily and weekly bullish%

One of the main items to watch is the daily and weekly bullish% number for the S&P 500. This measure shows how many stocks are above their daily/weekly reversal levels. This chart shows some history of this indicator:



In a healthy bull market both daily (red) and weekly (blue) bullish% tend to be above 55%.

In ordinary market pullbacks the daily bullish% can drop below 45% with weekly% staying well above it. That is normal behavior.

When both the daily and weekly bullish% are below 45% it is bearish.

Between 45 and 55% is the neutral zone.

In healthy market advances the daily bullish% will usually climb above 80%. But then the risk of a pullback or correction becomes high too.

It is often a good idea to stop taking new Buy signals when daily bullish% climbs above 80%. Wait for a correction and then add new positions on Buy or spBuy signals (PDF#1 and #4). Stocks giving Buy signals when more than 80% of the stocks are already in bullish mode are late to the party. This will also typically be stocks with a negative R value.

Conversely, after a significant sell-off the daily bullish% can drop below 20% and even all the way down to 0% in rare cases. We just stay patient until bullish% starts to go back up.

The first stocks that give new Buy signals after a significant decline are usually the (new) market leaders. Fear can be high after market drops, but we can’t let fear be our guide. Those early buys will often produce some of our biggest winners.

Divergences are important too. Towards the end of longer market advances we may see the red line (daily bullish) stays below the blue line (weekly bullish), even though the market makes new records.

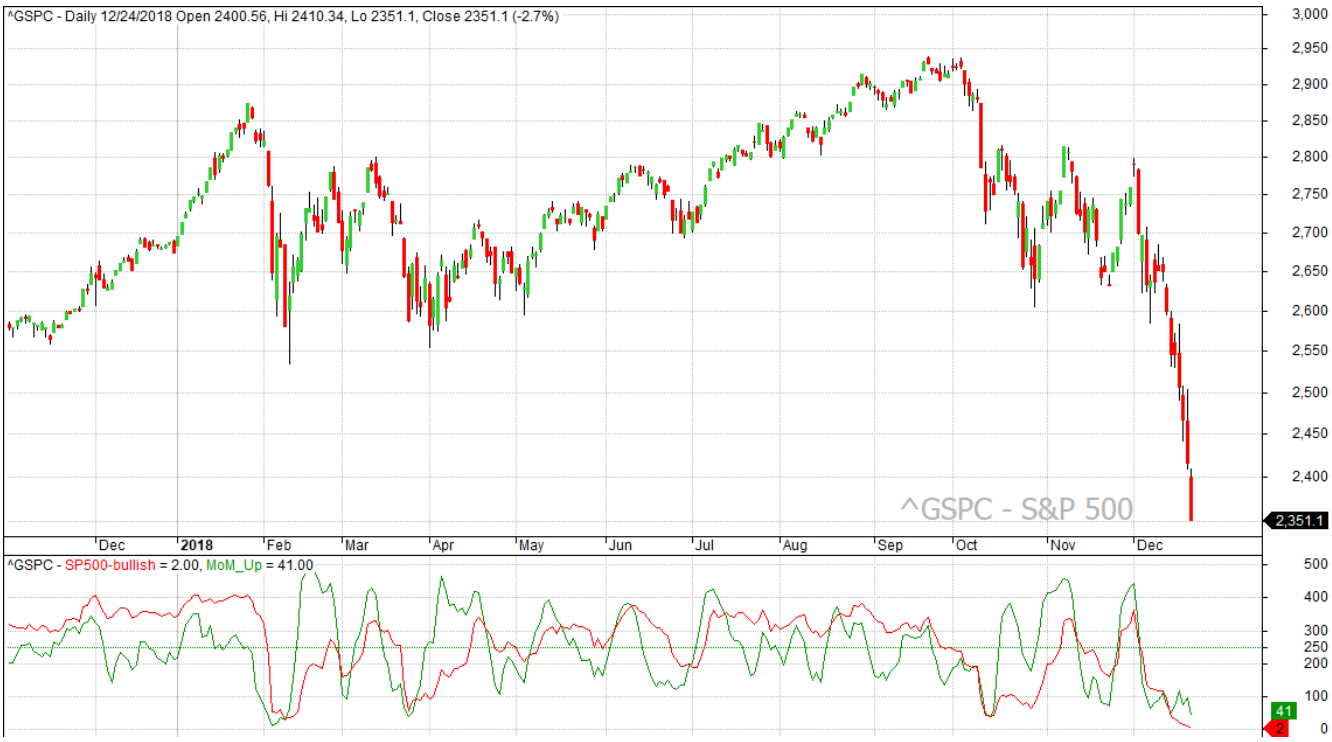
This was the case in January and September 2018 (see chart). It is an early warning sign, because it means fewer and fewer stocks are keeping the index up. In late September the daily bullish% didn't even get above 50% anymore, an even stronger warning sign.

At major lows the reverse phenomenon happens, the red line stays above the blue line, or is climbing above 50% already. An example is late April 2018. It can be very rewarding to do some speculative buying when there is unexpected strength in the daily bullish%.

Bullish% versus MoM-Up

A second stat to watch is the number of stocks in bullish mode versus the number of stocks with upward MoM.

MoM tends to turn up (down) before the stock itself does, and is useful as a leading indicator for the very short term. Here is a chart showing some recent history of bullish% (red) versus MoM-Up (green):



The number of stocks with upward MoM tends to fluctuate above and below the 50% level. When MoM-Up is above 55% it is short term bullish, when it is below 45% it is bearish. Between 45 and 55% is neutral.

In the early stages of a major market advance MoM-Up (green) will easily go well above the bullish% line and often above 80%. MoM leads upwards and it's the first thrust after a bottom. This is what we see in the Feb-Apr 2018 period here.

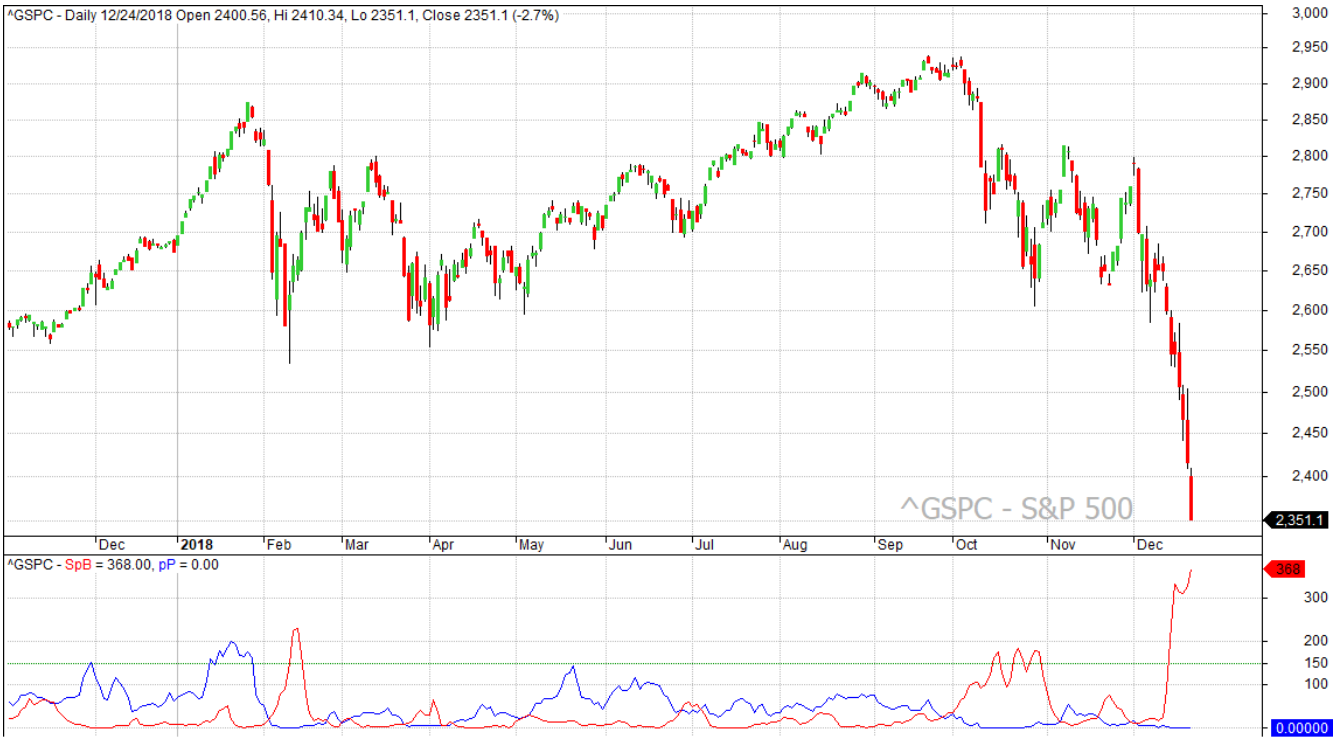
In the latter stages of a market advance MoM-Up will typically weaken and fall below the bullish% line. This is because more and more stocks go in weak bullish mode (pale green) when they are peaking out. You can see this in Dec 2017-Jan 2018 and again in Jul-Sep 2018 in the chart

Market sell-offs will often push MoM-Up below 20%. A significant rebound rally (if not a continuation of the bull market) will normally start as soon as MoM-Up gets back above 20%. You can use that as a signal to do some early buying and/or to cover shorts.

The table gives bullish% and MoM-Up numbers for S&P 500, S&P 400, S&P 600 and Nasdaq 100. Usually they will not differ much, but in late stage bull markets the small and mid cap indexes tend to display weakness well before the large caps and tech stocks start doing so.

SpBuy versus pP

The speculative buy and partial profits signals in the reversal levels tables are based on stocks becoming very oversold/overbought, among a few other criteria. A high number of pP signals tends to coincide with market tops, and a high number of spBuy signals is typically seen near bottoms. This stat is based on all S&P 1500 shares. Usually the number of SpBuy and pP signals is fairly low, but at market extremes it can go above 150 (10%). Here is some illustrative history of SpBuy (red) versus pP(blue):



We see 3 examples of SpBuy signals going above 150 (10%) in 2018. The highest SpBuy number will not rarely come within a day of a major low, but we do not always get a clean and easy peak as in Feb 2018.

October 2018 produced three subsequent SpBuy peaks above 150. It is best to stay patient until the number of SpBuy signals to drops at least 50% from its most recent peak. That will still not guarantee a long term bull move, but a good dead cat bounce is usually available.

Looking at the pP number (blue) we see one peak above 150, which was in January 2018. It's important to remember that >150 pP signals does not only happen at market peaks. Sometimes the market will just pause and chop around for a while, before continuing upwards. If you suspect a peak is being made then the approach is to sell as soon as the pP signal number drops 50% from its recent high peak. In this case you would have sold in late January 2018 when pP fell back below 100.

BullsPower vs BearPower

A next stat we have is BullsPower versus BearPower. The logic behind those numbers is a bit harder to explain. They depend on several factors that confirm or deny the bull or bear scenario at any given day. Here is some history:

The general concept is simple, when BullsPower (green) is above BearsPower (red) the bulls are in control and the market will usually be climbing. If that's not the case it's probably a correction or bear market.

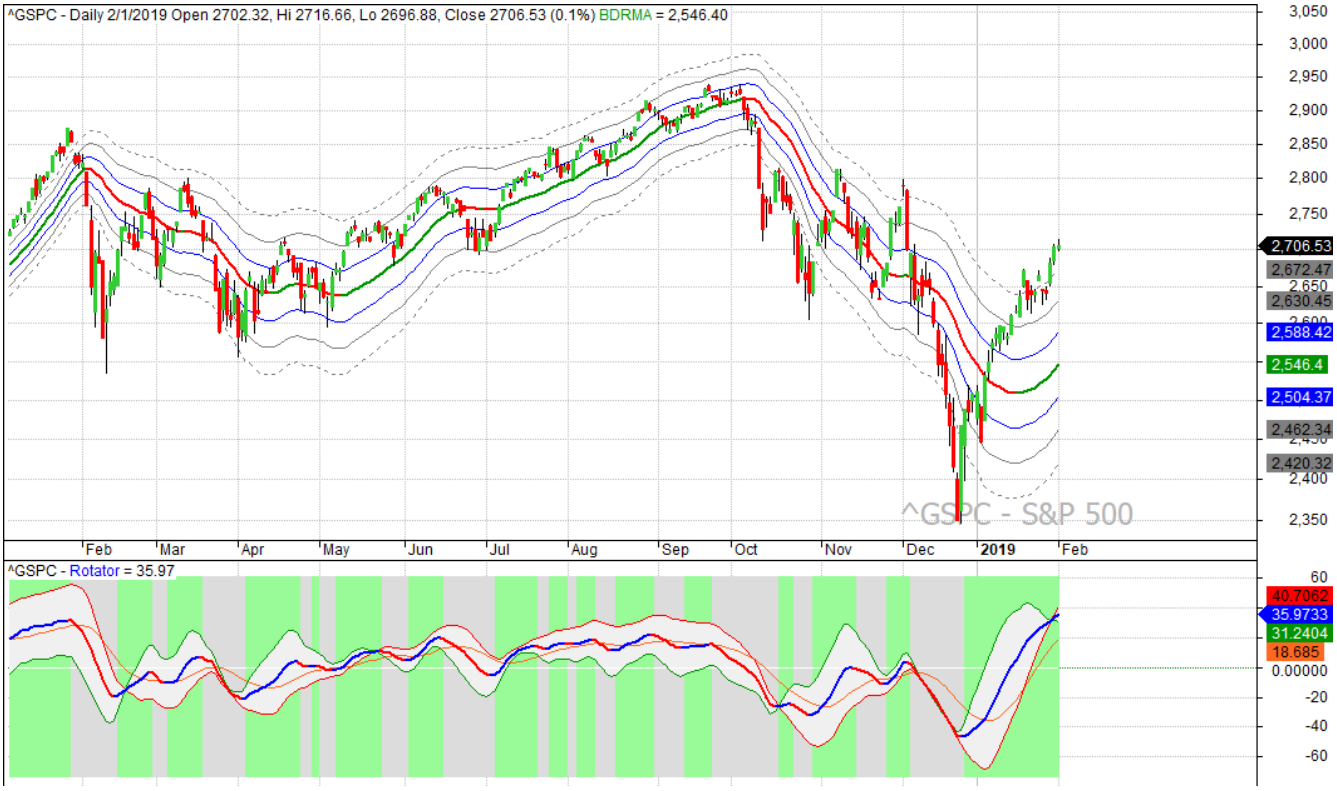
The longer bulls (or bears) have been in control the more established they are, but that also means a bigger move can be expected when the situation reverses. Values above 25 mean the bulls (or bears) are strong, taking the market higher (or lower).

If BullsPower and BearsPower are both below 25, then it signals hesitation or a “tug of war”, and the market is probably coiling sideways until a new trending move starts when one of the sides wins out.

This stat may or may not confirm what bullish% is telling. For example in late June 2018 the S&P 500 pulled back and bullish% dropped below 40%. But BearsPower never took the lead and the bull market continued. In November 2018 there were two sharp rebound rallies after the October decline. Bullish% went up sharply. But BearsPower stayed above 25. Bulls never regained control and soon Bears were charging again, with a crash as the result.

Rotator

A new addition (Feb 2019) is the S&P 500 Rotator. Here is some typical history:



When the Rotator is going up (blue line + green background) it is short term bullish. When not it is short term bearish. The Rotator can give very good swing trade entries, but sometimes it will just chop around, like in July-August here. Not every turnaround in the Rotator produces a big swing. The best setups for new long positions comes when the Rotator turns up well below the zero line, especially if the other stats also show a tradeable bottom (like a high spBuy number).

The Rotator is the average of two components, given by the green and red lines. The green component is usually the leading one and the red component tends to come along a few days or even weeks later.

A wide difference between both components, as seen by big white space in the chart, is a situation that usually gets corrected sooner rather than later.

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